

Q3 2025 AP Moeller - Maersk A/S Earnings Call Transcript

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Key Points

• Transcript

Q & A

Ask GuruAI

Key Points

Positive

- A P Moller Maersk AS (AMKBF) reported strong execution across all business segments, achieving an EBITDA of \$2.7 billion and an EBIT of \$1.3 billion, both up from the previous quarter.
- The logistics and services segment showed positive tracking with an EBIT margin increase to 5.5%, driven by asset utilization, productivity improvements, and stringent cost management.
- The Gemini cooperation in the Ocean segment resulted in over 90% reliability and significant cost savings, exceeding initial targets.
- Terminal business delivered record high revenues and profitability, supported by strong volumes and the successful implementation of Gemini.
- The company narrowed its full-year 2025 guidance to an underlying EBIT of \$3 to \$3.5 billion, reflecting confidence in sustained demand and operational improvements.

Negative

- Freight rates in the Ocean segment declined by 31% year on year, reflecting ongoing market pressure.
- The logistics and services segment faced challenges with a decrease in supply chain management revenue due to weakness in lead logistics volumes.
- The order book to fleet ratio for the container shipping industry is at 32%, the highest since the global financial crisis, posing potential future capacity challenges.
- Unit costs at fixed bunker decreased only slightly, indicating limited cost reduction despite volume growth.
- The company faces increased costs due to trade imbalances, leading to more empty container repositioning and higher handling costs.

Vincent Clerc;S;Chief Executive Officer

AP Moeller - Maersk A;Member of the Executive Board

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Welcome everyone and thank you for joining us on this earning call today as we present our third quarter results for 2025. My name is Vincent Clerc. I'm the CEO of APMIa Maersk, and with me in the room today is our CFO Patrick Janni.

As usual, we start with the highlights of the quarter just passed. We are pleased with the strong execution shown during the quarter in all businesses.

We improved our performance across the board and delivered on an ABITda of \$2.7 billion and an ABIT of \$1.3 billion up from the previous quarter.

All segments showed strong sequential volume progression while costs were kept under tight control.

These efforts paved the way for the strong results notwithstanding the external environment.

Specifically in logistics and services, we're staying the course, focusing on operational marginal improvements on both prior year and quarter to maintain the streak of good progress in 2025. We also registered good underlying and seasonal volume growth which more than offset the softening observed in North America.

For Ocean, this 3rd quarter was the first full and clean quarter of the Gemini cooperation. While we kept delivering reliability at 90+%, we also generated cost benefits well above the target we had communicated.

This excellent performance was supported by strong volumes and high asset utilization as well as asset turns. As expected, rates softened during the period as new capacity continued to be inflated ahead of demand.

Finally, our terminal business delivered again record high revenues and profitability driven by strong volumes, not least the ones delivered as a consequence of the Gemini implementation and the highest ever utilization across our portfolio of gateway terminals.

With another quarter of sustained high demand, especially out of China, we expect the market growth around 4% for the full year.

This strong demand combined with the successful implementation of Gemini and progress across all segments allows us to narrow the full year 2025 guidance to an underlying EBIT of between 3 and \$3.5 billion. As usual, more details will follow on this later in the call.

Now taking a closer look at each of our business segments, first, logistics and services continued to track positively. We achieved an EBIT margin of 5.5%, up from 5.1% last year and 4.8% last quarter.

The key levers of progress remain asset utilization, productivity improvement, and stringent cost management.

Aside from these efforts, the top-line also grew 2% year on year and 9% sequentially, the latter reflecting both seasonal strength and new wind implementation which offset the softening of demand in North America.

In ocean, as mentioned, we had our first full and clean quarter of Gemini after the Gemini implementation.

From already the first months since the implementation in February, we have seen the network deliver reliability above 90% and show resilience against disruptions such as weather, which we have seen recently in the Far East with the worst typhoon season in 10 years.

Meanwhile, we continue to deliver 90+% reliability in the third quarter and we also achieved significant cost savings even compared to the ambitious target we had communicated to you earlier this year. I will go into more details on this very shortly.

What Gemini has allowed us to do with these savings is to use our fleet more efficiently and capture more volumes. Our volumes are up 7% year on year and 5% sequentially for this quarter, while the average loaded freight rate was more or less in line with the prior quarter.

Good volume development has also driven high utilization of 94% for the quarter, up 0.5% points sequentially.

All of this happened against the backdrop of decreasing rates as expected.

In terminals we deliver another excellent quarter driven by record on volumes, revenue, EBITA, and EBIT.

What we had not talked about so much until recently is the volume uplift in our gateway terminals from Gemini, which has been a key contributor to our performance this quarter.

Return on invested capital has delivered a further uptick to 17.2%. Here we note that with utilization close to 90% we are approaching the full potential at which operations in some of our locations become less efficient and volume growth opportunities become more limited in the short-term.

We continue to invest to tot to de-bottleneck our existing terminals as well as grow with new locations as exemplified by the inauguration of Rieka Terminal in Croatia less than 2 weeks ago and several other projects in the pipeline.

Turning to our midterm target, as you can see, we have shown almost full delivery on our 2021 commitment. As mentioned, we continue to stay the course of regular progress in logistics and services, which is tracking positively with a bit margin up both year on year and sequentially.

Although no more needs to be done on that field.

We continue to make good operational progress with our challenge products of air, middle mile, and last mile while seeing good revenue growth in our other products more in line with our organic revenue growth targets. Our priority is to continue to improve in the 4th quarter as we round off the relevant period of these targets.

Taking a step back from this quarter, I want to just take a couple of minutes to get into more detail as to what has been driving such a robust demand growth in the ocean and some of the consequences of this phenomenon which we do not think are sufficiently well understood.

Despite talks of deglobalization, near shoring trade wars, container demand has shown a remarkable resilience over the past few years that has confounded many observers and models.

During this period, China's export growth into all regions of the world except for North America has not only been resilient, it had gathered pace.

China's share of global export has increased significantly and never as fast as it has over the past two years.

Specifically, its global export share has increased steadily from 33% only two years ago to about 37% this year.

This growth is part of a longer trend as reflected from the chart to the left but has accelerated recently.

It affects all regions with the Far East, excluding China being the biggest market and growing and growing at 12% per annum, and Europe the second biggest market and growing at 10% per annum.

North America, which in this case is including Mexico, which is the third biggest market, has been weaker but still has seen growth at 5% per annum despite the known trade tensions in 2025.

Given the widely available production capacity in China and the very competitive products that are being exported, we do not expect this trend of accelerated export growth from China to stop. The momentum is strong.

The consequences for us are not only the resilience of demand growth, which will contribute to absorbing some of the new capacity coming online, but also the increased trade imbalance that it is causing which over time will lead to higher production costs and lower asset intensity for the industry.

On both fronts, Gemini offered us a much needed flexibility so that we can capitalize on the growth opportunity while minimizing the cost impact.

Moving back to Q3 and to Gemini specifically, this is the first quarter where we can see the full effect of the new network, and we are pleased that the savings are higher than our original guidance.

To give you a sense of the benefits, we separate the ocean cost savings, which were the ones we had communicated into two buckets, namely bunker savings and asset turn increase.

Aside from this, we can also present an upside that we have seen in terminal as a direct result of this new cooperation.

Now taking each of these in turn and starting with bunker, we can see that the advantages of Gemini stemming from a more efficient use of our vessels, for instance through lower speed, shorter sailing distances, and shorter dwell time, are allowing us to reduce the bunker consumption. This quarter we saw 6% higher capacity, but about 11, but about 3% lower.

Total bunker consumption and this translates in an approximately 8% bunker consumption reduction corrected for the changes in capacity.

Then on our asset turn side, from the most efficient use of our vessels, Gemini allows us to transport more volumes at the same capacity.

This quarter we saw the capacity growth of about 6% against the volume growth of 7%. The delta of about 1% point represents the improvement in asset returns.

Both these buckets are driven by improvements we have been able to do under Gemini.

First, we have been able to deploy our largest vessels in most effective routes and on shorter loops.

Secondly, these shorter loops have had fewer port calls and more efficient ones.

Thirdly, locations outside the shorter mainliner loops have been serviced by fit for purpose shuttles rather than underutilized mainliners.

We can quantify the bunker consumption's improvement to about 8% at fixed bunker into cost benefits of about \$135 million for the quarter, which annualized is about \$450 to \$550 million based on the full year implementation and normal seasonality.

Likewise, we can quantify the asset turn improvement of about 1% point, which against our total network cost translates into about \$50 million of cost benefit in the quarter, which annualized is about another \$150 to \$200 million benefit.

The cost benefits on the ocean side alone therefore sum up to around \$600 to \$750 million on an annualized basis.

Another advantage of Gemini has been to increase volumes in some of our gateway terminals, allowing us to significantly increase the throughput.

These additional moves have improved port moves per hour and expanded operating terminal capacity. The additional uplift has generated about \$40 million in benefits, which annualized is about \$120 to \$200 million based on full year implementation and seasonality.

Overall across ocean and terminal, therefore we have generated about \$225 million in cost benefits in the third quarter, or \$720 to \$950 million in annual savings compared to our previously announced targets of about \$500 million.

As mentioned earlier, we now expect container volume growth to be around 4% for 2025 given the strong demand that we continue to see outside of North America.

There is no change to our assumptions on the Red Sea disruptions which we still expect will not reopen in the near term, absorbing net supply in the industry as long as it remains closed.

Against the backdrops of these factors, as well as a strong year-to-date performance, we refine our financial guidance to the full year 2025 to an underlying ETA of \$9 to \$9.5 billion from previously 8 to \$9.5 billion and an EBIT of \$3 to \$3.5 billion previously 2 to \$3.5 billion and finally a free cash flow of positive \$1 billion or higher, previously negative \$1 billion or higher.

Our cap guidance for 24 and 25 combined is revised down to about \$10 billion down from \$10 to \$11 billion while the guidance for 25 and 26 remains unchanged.

And I will now hand out to Patrick who will walk you through the detailed financials at segment level for our performance.

Patrick Jany;S;Chief Financial Officer
AP Moeller - Maersk A;Member of the Executive Board

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Thank you Vincent and welcome to everyone on the call.

Q325 was a quarter with strong financial performance across the group, significantly subsequently. Overall we generated an EBITDA of \$2.7 billion and a EBITDA of \$1.3 billion implying a margin of

18.9% and 9% respectively.

As expected, the delta to the previous year is driven largely by the shift in rates we have seen in oceans since the peak levels in mid 24, which was at the height of the Red Sea disruption, while the progress on the previous quarter is driven by higher volumes and operational improvements across all three businesses.

Net profit after tax was \$1.1 billion generating a solid return on invested capital of 9.6%, still at a good level, but decreasing as strong 2024 quarters progressively fall out of the yearly calculation.

Solid free cash flow supported a strong balance sheet with cash and deposits standing at \$20.9 billion at quarter's end.

Our net cash position is down from \$5.6 billion last year to \$2.6 billion driven mostly by the strong returns to shareholders, which totaled \$4 billion in the first nine months.

Let's take a closer look at cash flow on slide 12, where we see that cash flow from operations increased sequentially to \$2.6 billion in the third quarter, driven by a higher EBITDA of \$2.7 billion while the movements in networking capital was largely flat. Overall, we had a strong cash conversion of 97%, up from 89% last year and 81% last quarter.

Further across the chart, gross CapEx for the quarter was \$1.2 billion in line with our multi-year CapEx guidance driven by our ocean fleet renewal program.

Meanwhile, capitalized losses, capitalized leases stood at \$868 million also in line with expectations and down from the previous quarter, which was impacted by the Port Elizabeth concession extension.

And free cash flow was therefore at \$771 million.

Capital return via share buyback was \$578 million this quarter, and finally, most of the \$850 million you see in movements in borrowings relate to our nine-year, \$500 million green bond assurance in September, extending our maturity profile early in light of extending bonds maturing in March next year.

Taking altogether, cash generation was strong in the 3rd quarter and supported an already strong balance sheet alongside the continuation of our share buyback.

Turning to our ocean segment on slide 13, Ocean delivered a strong operational performance in the 3rd quarter, which marked the 1st full quarter of Gemini implementation.

From a financial standpoint, ocean generated a profit of \$567 million implying a margin of 6.2%. This is down on last year, driven by the expected rate decline, but significantly up sequentially, driven by the strong volume growth of 7% and Gemini.

Specifically on Gemini, as Vincent mentioned earlier, the new network generated cost benefits in the form of bunker savings and higher asset terms, without which we would have expected our third quarter ocean costs and therefore EBIT to be impacted negatively by about \$185 million.

Meanwhile, freight rates were significantly down year on year, driven by the ongoing market pressure on rates since 2024, but broadly in line sequentially.

CapEx was in line with guidance and comprised mainly installments on vessel orders announced last year,

as well as a broader equipment renewal and vessel deliveries that are part of our ocean fleet renewal program.

As usual, the chart on slide 14 illustrates the main elements of the year on year habitat development in our ocean business.

On the left you can see the large impact on profitability from the 31% lower freight rates cushioned by the tailwind of the 7% increase in volumes year on year.

Ocean also saw a positive impact of \$211 million from lower bunker prices compared to last year, while container handling and network costs increased, driven by higher empty repositioning and terminal costs.

Also note that EBITDA was further supported by higher detention and demeritage revenue and a positive delta in revenue recognition, the latter of which accounts for the vast majority of the net \$551 million in the final bucket. All in all, these offsetting factors allowed EBITDA in the third quarter.

To settle at \$1.8 billion down from the previous year but up on the previous quarter.

Let's now have a look on the ocean KPIs on slide fifteens.

Ocean's operational performance in the 3rd quarter is highlighted in these metrics, with strong volume performance and Gemini helping to offset headwinds in cost and rates.

Loaded volumes increased by 7% year on year, reaching 3.4 millions as demand was strong on key trade lanes. Sequentially, volumes grew by 5.2%. As mentioned earlier, our average loaded freight rates declined by 31% year on year, reflecting market fundamentals that we have seen since 2024 from growing assessed capacity. Nevertheless, as reflected in the flat sequential development, the lower levels in the third quarter at quarter end were actually offset by the high levels at the start of the quarter, therefore providing a fairly benign rate environment in the quarter.

On the cost side, unit costs at fixed bunker decreased both year on year and sequentially by 0.8% and 2.2% respectively, as strong volume performance, high utilization, as well as cost benefits from Gemini offset the general cost pressure.

Bunker costs were down 14% year on year due to both lower fuel prices by 13% and increased efficiency from Gemini, leading to lower bunker consumption of 3.2%. This is despite us carrying more volumes and managing a larger fleet. Specifically on the fleet, the average operating fleet grew 5.5% year on year, reaching 4.6 million TEUs, all while capacity utilization remained high at 94%.

Let's now turn to our logistics and services business on slide 16.

In the third quarter, logistics and services delivered revenue of \$4 billion up 2.3% year on year and 8.6% sequentially, the latter reflecting seasonal strength. The year on year growth was driven by growth across most products.

On the bottom line, EBIT showed a significant increase to \$218 million which also implied a continued EBIT margin improvements of 0.4% points year on year and 0.7% points sequentially to 5.5%. The marginal improvement is primarily driven by the continued operational progress that the team has made in fulfilled by Maersk, all while continuing to exercise stringent cost control across all service models.

Is down on last year but remains at a stable level sequentially to support growth with particular focus on

depot and warehousing this quarter.

Now let's have a look at the breakdown by service model within logistics and services on slide 17.

Starting with our supply chain management offering, revenue here decreased by 4.8% year on year to \$594 million with the EBITDA margin decreasing to 22.6%, down from \$24.2 million last year. This decline was driven by weakness in lead logistics, our four PL business, volumes primarily from China to the US on the back of the stop and go volatility we have seen in the external environment.

In fulfillment services, operational progress in Middle Mile in North America, and warehousing led to significant improvements in profitability, with a net margin of negative 0.9%, up from 4.5%. Revenue increased by 2.9%, reaching \$1.5 billion.

Finally, revenue increased in transported services to \$1.9 billion equal to a 4.3% increase year on year. This was supported by higher volumes in landside transportation in the peak season.

However, the EBITA margin was impacted by weakness in air, landing lower on the previous quarter at 7.3%. We round off with our terminals business on slide 18.

Terminals delivered another excellent quarter, continuing the positive trend. Revenue grew by 22% year on year to \$1.4 billion driven by 8.7% higher volume supported by Gemini, and improved rates. Specifically on the Gemini impact, volumes from Maersk Ocean increased 26% year on year. The higher volumes brought a further uptick in utilization, which stands at 89%. As mentioned earlier, while this is supportive of high margins, it also highlights the necessity to invest in capacity extension in the coming years to cater for the long-term growth of our port operations.

Revenue per move increased by 7.8%, reflecting improved rates and mix. Meanwhile, cost per move increased by 6.7%, largely due to labor inflation and higher SG&A cost, but mitigated by higher utilization.

Overall, EBIT increased by 69% year on year to \$571 million with a margin of 39.4%, up 11% points from last year and 4.1%. Higher sequentially.

This underlying good margin was supported by a net \$139 million positive impact from one-offs, including the reversal of impairments due to the successful extension of a concession.

Reich rose to a record 17.2%, underlining the intrinsic strong return profile of this business, although levels will taper down progressively with increased renewals and investments. CapEx for the quarter came in at \$154 million more or less in line with the previous year, and reflect the continued investment in our gateways portfolio.

Turning to the breakdown of terminals a bit down slide 19.

Terminals delivered an increased EDA from \$424 million last year to \$501 million.

The increase in cost per move of \$56 million was more than offset by higher revenue per move and volume impact.

Currency exits and other movements brought a further positive impact of \$29 million bringing the EBITDA to a record level for the quarter.

And with that we finish the review of our business segments and are ready for the Q&A. Operator, please go ahead.

Questions & Answers

Operator

We will now begin the question-and-answer session. (Operator Instructions)

Patrick Kroy, Goldman Sachs.

Patrick Tiah
Goldman Sachs Group Inc - Analyst

Hi Vincent Patrick, just two questions. First on the outlook, if we look at your Q4 EBITA, you're implicitly guiding based on the full year range, somewhere between 1.3 and 1.8 billion. Can you provide a little bit of color on what sort of volume and rate assumptions are embedded or would be embedded at the top and the bottom?

And also based on what you see so far going to Q4, you see a skew, more likely at the top or low end.

And then just on the buyback.

It's got a cash position of around 15 billion or so, in the past you've sometimes given the market a sense on how comfortable you felt on buybacks in the year ahead. Can you again give us a bit of sense today, assuming, for instance, a stable trading environment at these levels, would you, see a reason to discontinue the buyback next year or keep it? Thanks very much.

Patrick Jany;S;Chief Financial Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Oh, thanks very much Patrick. So indeed when you look at the guidance for 44, it implies, a continuity of the pace that we have currently. We have seen, rates stabilize, by September and early October, and that is, I would say the pace that we have continued to forecast for the Q4, and the volume developments actually seems still to be pretty strong as we can see it. So I would rather mentally see, let's say the. The revision of the guidance towards indicating the higher end of the guidance which what we are doing by narrowing the range and and and and and that's what we intend to signify here which at group level is is more or less a break even you know it will depend on the last few weeks for the Q4.

When you look at the at the cash position and balance sheet, it is strong, and as we have indicated as well when we restarted the share buyback back in February this year, the intent is to to certainly see the, see this as another one year event and in your assumption of a stability of externalities, I think there's nothing that speaks against the continuation of the share buyback indeed.

Patrick Tiah
Goldman Sachs Group Inc - Analyst

Thank you.

Thank you.

Operator

Our next question comes from Muniba Khayani, Bank of America. Please go ahead.

Muneeba Kayani
BofA Global Research - Analyst

Well, yes, good morning. Thanks for taking my questions. Firstly, just on the logistics eB improving at the margin to 5.5%, can you remind us what seasonality in this business, and if there was any benefit on that, and kind of, how much of this is kind of the, improvement. Which can continue. And then secondly, we've seen in a container shipping, the order book to fleet ratio for the industry is around 32% now, which I believe is the highest since the global financial crisis. So, what do you think is driving that and how do you see it playing out?

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Yeah, hi Muniba.

So, if I start with your first question on logistics.

I think most of the improvement that we're seeing.

Most of the improvements that we're seeing are due to the cost containment and productivity improvement that we are putting in place. In general, the business will have a seasonality, a bit tilted towards the second half year versus the first half year, but, and mostly I would say towards the very end of the year, depending on your product exposure. But I think when we look at it and you can see that in the volumes and the top-line. We see some seasonal improvements that are helping. We also see some of the wins that we're taken in that are helping, but I think most of it is actually coming from the work that we're doing on margin.

From the order book, I think you're correct that at 32%, the order book is quite high. I want you to, I just need you to remember two things. I think the first one is that The time to order, so the number of years over which this is going to phase in is more than it was during the before the financial crisis. So if you, we're going to, there's a longer installment, if you will, that is that is being ordered. So that, that's one thing. And the second thing is the story that we had about China. The market is growing at about 4%.

But on the headho, it's growing at about 7%.

And what we're seeing is as long as it grows at 7% on the head hole, you need 7% more capacity to be able to carry this. So I think there is this dichotomy that there is between headhold growth and average growth is absorbing a lot more capacity. The longer order books means that it's not facing as brutally as one would expect. And then the last point that there is is not a single ship has been scrapped for the last 6 years. But the ships all got 6 years older in that in that period, so there is pent up demand for that. And so I think over time we will see that some of the levers.

That so far have come at us, whether it was higher demand from China or sailing around the Cape of Good Hope or or COVID, this will fade away and we'll be back to having to use the tools that we that we normally use in in the industry which is scrapping, idling, slow steaming, and so on, and and there there are still significant levers that we can that we can lift to actually balance the outlook.

Muneeba Kayani
BofA Global Research - Analyst

Thank you.

Operator

Ulrik Bak, Danske Bank.

Ulrik Bak
Danske Markets Equities - Equity Analyst

Yes, hello.

Thank you for taking my question. So on the volume side, ocean volumes, you obviously have very strong growth, 7% in the quarter.

I'm just curious to hear what is there, if there is a split between the feeder legs and the main hall legs, and If there is any issue with double counting anything because it just looks so extraordinary, your volume growth, and then if I can sneak in a second one, so this overperformance versus the market, how long do you expect this to be sustained?

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Alright, so I can guarantee you that there is no double counting of of of volume or like, we count, we count the containers and the bills of ladings only once. It's, it, it's much better. You would, you would see it in the revenue development very different if we were double counting. So I think that we're pretty, we can be quite categorical around. I think when I look at what what we're able to do right now, as a result of Gemini from a cost perspective.

I think it's a it's a pretty significant lever that we have unlocked here and this has, I think legs to continue into the into the coming quarters. I cannot give you, how many quarters this advantage will last. I think it's going to last, quite a while, but it depends also on what we do next and what competition does next, and I'm not in control of all of that. But I think that what we have shown. On the slide with Gemini is there are, a few levers where we have broken some efficiency frontier that we had under the previous deployment, and that we have moved them now to being higher and this is what allows us to actually lift the cost impact of Gemini quite significantly.

Operator

Omar Nokta, Jefferies.

Omar Nokta

Jefferies LLC - Analyst

Thank you. Good morning. Just wanted to follow-up on the They share buyback discussion. And you mentioned last quarter, you continue to view that as a focal point of the capital allocation strategy. It sounds like that's going to continue for 26 as well, but just in terms of how you're thinking about the size 2 billion this year, how can we think about how that looks for 26 as you set the budget? Does it become a portion or a function of how much free cash flow was generated this year, or what's it based on? Is it based off of earnings next year? Any color you can get will be helpful.

Patrick Jany;S;Chief Financial Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Yeah, thanks very much for your question, Umar. No, as we said, clearly, a share back is a fundamental piece of our capital allocation and will continue to be, as well for next year. I think when you look at the dimensioning that we actually, maxed out this year, right, just from the free float and. The rules on the daily volumes. So I would expect this to be a maximum amount, but then the exact dimensioning will be done obviously in February and when we come out with our guidance for full year. I think it would be premature now to guide, but I think certainly the willingness to continue a sizable share buyback is certainly there.

Operator

Okay, thank you.

Cedar Ekblom, Morgan Stanley.

Cedar Ekblom
Morgan Stanley - Analyst

Thanks very much. Hi, gentlemen. I have a question on the Gemini cost savings. I'm looking at that slide that you put together, and it looks like the bulk of the benefits come on the bunker side of things, which I think makes sense. What I am surprised about is why the asset turn benefit is not higher. Maybe you could just, Talk through like what I'm missing there. Maybe I've just thought that the asset turn would be better, you could optimize the network more, long voyage, big vessels, feeder vessels, etc. I'm just trying to understand that split, that the bunker number and the asseturn number are not sort of closer to each other.

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Yeah, hi, thank you, sir. I think.

Let me TRY to explain, to explain that.

I think the asset turn, it depends also on what is your base. We had extremely high utilization last year, so we've been able to lift this with 0.5%. We're continuing to look at whether we can actually increase that number in the coming quarter. The bunker we can very much control because as soon as you're into the

deployment, since we measure it against the capacity, we get the full saving calculated there. And we've tried to disaggregate that because we could have just done this in terms of total unit cost per container, and I would have mixed the bunker and the efficiency on the fleet or on the utilization.

So I think.

The bunker, we see 100% of the savings right away. As long as we deliver on the reliability, this will be pretty steady, I think on the on the asset terms, this is where I think we have some opportunity to continue to fine tune and improve the network. So this one I would look at as still having a bit of leg that we need to exploit in the coming quarters.

Cedar Ekblom
Morgan Stanley - Analyst

Okay, and then, yeah, just a follow-up there. So obviously container handling unit cost at a fixed bunker, hasn't really come down year over year. It obviously has come down sequentially, which is helpful. Could you give any sort of guide around how to think about that sort of container.

Handling cost on a unit basis or maybe network costs on a unit basis? Like, are we talking about a 5% decline from here unit-wise, or I don't know if you could help us quantify how to think about that run rate into 26. Thanks.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

/- -

Yeah, so the issue with the container handling is the fact that as I mentioned, with with an average market growth at 4%. And a headhold growth at 7%, trades become more imbalanced, and then under container handling, the amount of empty containers we're moving around increases because there is just more containers going one way and fewer containers going the other way, and that means more empty repositioning and that's what I mentioned in the slide for China. I think as we see this imbalance continue to grow, it's important that we understand that. We're going to need more and more capacity to cater for growth because it's more and more asymmetrical between the head hole and the back hole, but it will also increase our cost per above that because because of the increased imbalance and more empty containers being moved around.

Cedar Ekblom
Morgan Stanley - Analyst

Thanks, that makes a lot of sense. Appreciate it.

Operator

Kristian Godiksen, SEB.

Kristian Godiksen
SEB Equities - Analyst

Yes, so thank you. Also a couple of questions on the Gemini part. So just a household questions to start out with the improvement in terminals, is that in the, is that for the hops and hence included in the ocean part of the business, or is that for the terminal business? And then if you could maybe comment a bit on

the unit cost advantage you see compared to the peers that are not using the hop and spoke model and then maybe just finally sneak in a question on whether you've had any. Preliminary discussions with the clients on a potential price premium for for your higher schedule reliability, thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Yeah, thank you, Christian. So I think the what is important with Gemini from from the gateway perspective is the fact that before when we were in 2M we were we were paired with probably the other line that has the most comprehensive terminal portfolio and it means that in a lot of locations we had to split volumes between the different parties. Here we are with with a partner that has less of a much less of a terminal portfolio, and it means that we're getting more locations where 100% of the throughput is not split between two different facilities, but it's all going through our facilities. So for the gateways this is very positive because they get they get the full 100% of the support from Gemini. And that is something that is an uplift for this, and it will last for as long as Gemini lasts, so it's it's quite positive on the unit cost. I think we're going to need one or two quarters more of data from the competition to know because we can see how much we have saved sequentially and how much we have saved the year. Obviously the world doesn't stand completely still. They will also do certain things.

What we can see with the numbers that have been released so far is that we're making more progress on unit costs than what they're making, and we attribute this to Gemini, which is the big thing that we did to lower our unit costs. So we're quite positive on the fact that we're opening up a GAAP now with Gemini that is going to be that is going quite handy, especially in the current rate environment, and we will continue to work at making it as big as possible.

Then finally on customer discussion, I want to say that the customer's reaction is really very positive. Obviously for the for the premium this is a conversation that we have started, but it's it's a bit too early to talk because we we we need to be certain also that we have a long enough track record. That it unlocks value for them where we can then capture some of that value for us. So for instance, Concretely, today every customer has a buffer stock, and that reliability needs to unlock a reduction of that buffer stock. They need to trust that this has weathered sufficient ups and downs and be steady. That they can take out some of that buffer stock and if they do, they pocket that saving and then we can capture some of it in the form of a premium. I think that process is starting. It's a long haul process to take place, but certainly something where we see we see some potential at least to capture some value. But we need to, it's just a few months, it's the first quarter. We're going with it today. Where we have the full Gemini, some of them have been in transition with, so not everything is yet fully in a place where value has been unlocked yet, but we, we're very positive with the discussion so far.

Kristian Godiksen
SEB Equities - Analyst

Perfect, thanks a lot. Very clear, Vincent.

Thank you.

Operator

Jacob Lacks, Wolfe Research.

Jacob Lacks
Wolfe Research LLC - Analyst

Hey, thanks for your time.

So you've discussed in the past maybe a bit of a shift in how quickly contracts get repriced when the market's tightening up.

Have you seen customers actively work to reprice contracts again with rates moving lower now? And to that end, do you think the current rate environment will largely be reflected in Q4, or could there be some incremental pressure in 26 when new contracts are signed?

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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So we've not, thank you Jacob, we've not seen any big movements on on contract being open now, which, since the contracts have been trending down during Q3, and it was not very timely for people to do it until they, when they know they have the negotiation coming soon and as long as things are moving their way. So I think that from that perspective that's one of the things that also holds the contract good. So those have not moved. You will have noticed that over the past few weeks the rates have actually come up again a little bit.

It's too early to call anything on the contracting season. I think we'll we'll have certainly a discussion around this in February when we come with a full year guidance for 2026 and we have some of the early negotiations under wrap. But I think for now what we have seen in terms of behavior from customers is that whatever the price did during Q3 did not lead to customers actually reopening contracts or wanting to have commercial discussions on price.

And contract adherence has been quite strong as well, so it's not like the volumes just disappeared. I mean they they were living up to their commitment.

Jacob Lacks
Wolfe Research LLC - Analyst

Yeah, makes sense. Great, thank you for the time.

Operator

James Hollins, BNP Paribas.

James Hollins
- Analyst

Thanks very much, yeah, obviously you've discussed buybacks a lot, pretty important to the market. I was just wondering, I mean, clearly another way you might not do buybacks is aggressively pursuing M&A.

I was wondering how you're looking at M&A, if we are indeed looking quite extensively and globally at potential deals. And secondly, a bit of a sort of generic question, but as I look at consensus for 2026 owner.

Bloomberg Consensus has a loss of \$2.8 billion.

I mean that would be an Armageddon scenario like 2009. Your company compiles at \$1.7 million apart from showing how nuts forecasting is, maybe just get sort of your view on how you would see, I guess, particularly that Bloomberg consensus against the reality of what you might see in this industry based on, someone who's been in it a long time.

With your work on cost, your work on the alliance, and basically whether that's way too pessimistic.

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Hey James, I think let me start with the 2026, and give you the standard answer that I look really forward to talking about it in February, but before that I think we'll have to, we'll have to pause on giving any type of views, with respect to the M&A.

I think what we need to remember is that, ALL3 segments, that we operate in are actually, over time segments that are quite competitive and very low margin. So when I hear something like aggressive pursuit of M&A, I hear premiums that will be difficult to justify through synergies, afterwards and a lot of risk to destroy shareholder value. So whereas. We've we've said it and we continue to say that MA will be a part of of the continued repositioning of of of Maersk, and we, when we, whenever we see opportunities we have both the wherewithal and the interest to pursue them, but maybe an aggressive thing right now given some of the outlook is not necessarily something we will we will pursue.

James Hollins
- Analyst

Okay, thanks a lot.

Operator

Parash Jain, HSBC.

Parash Jain;USA;Inc;Analyst
HSBC Securities

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Hi, thank you for taking my questions. I mean, just first with respect to, Red Sea, I know nobody has a crystal ball, but given the recent developments, is it, First half of next year, looks more likely than ever before. And my second question is, we heard a lot about front loading, by the US retailers in particular, now that we are well into the peak season. Are there any signs of, frontloading which has been reflected into the fourth quarter's volume run rate?

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Yeah, so for the Red Sea, let me start by saying that obviously the ceasefire in Gaza is a significant, first it's a great thing for people in Gaza and for the world in general, but it is also a significant step towards being able to reopen the Suez Canal since the two, the situation in Bab el Mandeb and in Gaza have been linked since the beginning.

I think the way we think about this is that we need now to make sure that this moves into a process where it becomes clear that the ceasefire is entrenched and doesn't risk going backward at some point and then we fall back into a new phase of a conflict and that that's a situation we're monitoring quite closely and we're also figuring out what is the posture of of the Houthis specifically.

To see if we can if we can start to have a safe passage, so I would whether it's more likely now to be early at some point or whatever, I think if the ceasefire holds, then I think we've crossed.

A gate and made a big step towards returning to the Red Sea, but I think we need to see that get entrenched and we need to see the process move ahead. And once that happens, then we'll have a better view of what that means for a return to the Red Sea.

Then in respect of front loading, I think there was a lot of discussion on front loading, especially the end of 24, beginning of 25, before the tariffs in April. We certainly saw following the implementation of the tariff that things softened in North America.

And we certainly still have seen this still into the 3rd quarter and and even I would say during the month of October. I would say that what we're seeing now is there is somewhat of a push also into the US for some of the seasonal goods to to get to get there. So I think from a demand perspective.

Very resilient demand across all all geographies and the US that is picking up a bit of pace following this month between April and October that have been a bit more soft.

Parash Jain;USA;Inc;Analyst
HSBC Securities

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Thank you so much and have a good evening, good day.

Operator

Alexia Dogani, JPMorgan.

Alexia Dogani
JPMorgan Chase & Co - Analyst

Yeah, good morning, Bill. Thanks for taking my questions. Just firstly, could you explain a little bit the unit revenue development because we're struggling to reconcile with the trade line numbers you report and the group level. If you can just explain.

Has it normally developed as per the six week lag, the spot versus the contract? Has it performed versus expectations, whether it's underperformed or overperformed, because, yeah, struggling to reconcile a little

bit, the outcome. And secondly, on the unit cost again on the notion, I mean, clearly you talk positively about the Gemini contributions, but overall your unit cost at constant tanker is only down 1% and despite you growing 7% capacity and 5.5% volume, or sorry, the other way, 5.5% capacity, 7% volume, so when we look into next year. What further cost savings can you deliver if there is less volume growth, because I imagine the capacity benefits analyzed. And then finally, obviously the IMO has now delayed it's kind of net zero.

Initiatives. How should we think about the implications for industry capacity, discipline, and I guess more importantly for yourself that have invested in green CapEx, which comes at a higher cost and so it kind of takes you in a relative disadvantage.

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Yeah, there's quite a few questions, so let me TRY to cover that, to the best possible. I think first of all, when you look at the cost, there is one element that we're missing, and it is that the net position that we have on our different VSAs, whether it's a plus or a minus, is reported under other revenue.

And the fact is that our position in 2M was balanced and our position in Gemini is that of a net seller of capacity. And that means that out of the 11% that you see in growth in the network cost, half of that is due to that net position. And once you take that out, then the growth of our network cost is actually 5.5% for 7% volume volume increase. So I think that's just important to To position this, we see the unit cost being decreased. The biggest efficiency is because we've chose to slow steam and be reliable. It's going to be seen on bunker.

So that was always it doesn't matter so much which line item it chose, but we've made choices. We could have gone.

A bit faster and save a few ships and also generate some cost savings that you would have seen more on the network cost we've chosen to really focus on bunker.

So I think for the unit cost there is there is this when we look forward, I think we have 3 levers for for cost savings, for further cost savings. One is the expansion of Gemini.

2 is actually some of our other costs here under.

Organizational cost.

That we're looking into and then finally I think as the rates soften.

We will see also a softening in the time charter market and that will generate further savings in.

In the unit cost that we have by by basically being able to lease ships at a at a cheaper price, so those are, I think, the three, the three key things I would say that we anticipate, we, you mentioned like no less volume growth. We don't expect necessarily less volume growth, but we'll talk about this in February. But I think that that's not an assumption we should have.

So that, that's both for the unit cost and the growth.

The IMO, I would say from a CapEx perspective, it's, what happened at the IMO is a non-event seen from that that today every single ship that is on order more or less is a do, it has a dual fuel engine. It's either dual fuel LNG bunker or it's dual fuel, methanol, bunker.

And I think everybody understands that it makes sense when you take a bet on the next 30 years by ordering a ship that you cannot just base yourself on what IMO is doing now, but you need to understand what optionality you have for the next 30 years, and I don't expect that people will start to order only bunker ships because they will think that for the next 30 years this green transition is not going to be an issue at all.

So I think from that perspective, I don't think operationally.

Is a problem. I don't think CapEx wise is a problem. It's a problem to execute the energy transition because definitely it's a loss of momentum, but from an operational perspective we are not at a disadvantage and I don't think it's going to change all the behaviors or supply and demand.

Patrick Jany;S;Chief Financial Officer
AP Moeller - Maersk A;Member of the Executive Board

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And let me come back on your, on your rate on the first part of your questions here. So what you have to consider is that we have increased the share of short-term, rates in our mix as you can see as well in our disclosure to 53% compared to 47% long-term, in the quarter and, which.

Was positive during Q2, Q3. As short-term rates decrease during Q3, you see that our full year estimate for 25 sees an increase of the long-term. So we are pushing the contract fulfillment and the long-term rates, which are more resilient to the erosion of the rates in the short-term. So you have a progressive change of mix constantly to optimize the revenue there. Another factor when you TRY to reconcile is also the very different geographical evolution of the rates. So the north, the east-west rates are the ones which we always follow very publicly and and those ones came down. However, you do have much more resilient rates develop north-south and then the interregional rates as well. So that's a bit of a of a mix that you see always in our in our total figure. Hope that helps.

Our next question.

Operator

Marco Limite, Barclays.

Marco Limite
Barclays - Analyst

Hi, good morning.

Thank you very much for taking my question. So my first question is on demand, because you're talking about a fairly strong demand while some of your competitors in other subsectors are talking about soft demand.

You've also mentioned that you expect US demand being sort of strong over the next 6 months, and then also, you have mentioned that, China outbound has grown 7% and expect a similar rate going forward.

Do you, what kind of visibility have you got on, basically these assumptions and, especially the fact that China has been very strong this year is not that a risk for growth, next year on a very high coms, is the first question. And the second on capital allocation.

We've been discussing about potential for MA and Cherbabek and so on, but when we think about terminal expansion, I mean this week you announced a \$2 billion investment in the terminals. Well, first the question is on your balance sheet or off balance sheet as you've got a minority stake, but more in general. Is it a problem for you, to have, let's say, terminal, the terminal business in the overall mask umbrella, where of course you cannot take a lot of leverage, but, terminal business needs, big CapEx investments and also a larger balance sheet buffer.

Thank you.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Yeah, so, on, let me start with the demand. First of all, the strength of the demand, if I look at the year-to-date, both last year and year-to-date, I mean this is, I hope this is undisputed by anybody at least when it comes to container traffic because you can verify it in the CTS statistics, GOC statistics, and any other, widely available port statistics that you can find.

So is, so is the fact that China makes up a large part of this and that this shows no signs of abating. So, personally, I don't see, I don't see, any reasonable argument or data source that that would go against the fact that that demand has been above 5% last year and will be around 4% this year, which is actually quite significant.

The demand from China and the growth from China, at least so far.

Shows no sign of abating.

And unless At some point somebody can point to a reason for why this would abate.

Then I think it's a reasonable assumption to say that if there is no reason for it to slow down or stop, then why would it? And then you can discuss whether, given, as you mentioned, given the coms, whether it's going to continue to be 11% or that the base becomes so big that it becomes 10% or 9%, but the fact is that it's still quite significant and at least so far as we show in the graph, the last two years it's been accelerating, not decelerating.

So I think from a demand perspective we feel quite confident that that demand growth is very strong. There's a lot of cargo out there to move and that has a lot to do with China and I think that that there is ample data to to back that up.

You wanted to.

Patrick Jany;S;Chief Financial Officer
AP Moeller - Maersk A;Member of the Executive Board

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Yeah, on your question on the capital allocation and and and terminals, I think so. First of all, on the capital allocation, I think our first priority is organic growth, and we have always said that we would dedicate the sufficient funds to grow in in logistics, growing terminals, and renew our fleet for for ocean. That is part of our guidance of the 10 to 11 billion CapEx over two years. So that's factored in. I think what you have to see is actually Terminus is a is a brilliant business that complements ocean. We capture a lot of the value as we actually just showed on on Gemini of the value of the of the ocean leg into the port, right? And the margins there are actually higher than than in ocean. So it is good to have. It comes with a I would say a high CapEx profile when you have new terminals, but a lot of the CapEx is actually expansion of existing, right? It is of existing capacity where you can grow, and then you have a few new ones which are planned. We just announced the the we just opened one recently and there are others in the pipeline.

Which again are absolutely included in our guidance and do make absolute good sense. Overall, I would say it is still an asset lighter business than ocean is, so it's absolutely fine with our balance sheet and we have the the balance sheet structure and financing to fund that development as well.

Operator

Very much.

Ladies and gentlemen, that was the last question. I would now like to turn the conference back over to Vincent Clerc for any closing remarks.

Vincent Clerc;S;Chief Executive Officer
AP Moeller - Maersk A;Member of the Executive Board

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Thank you again for joining us today and to summarize the discussions, we have demonstrated strong execution in this quarter in which uncertainties did persist in the in the external environment but where we carry to deliver a strong result across the whole business portfolio.

We've made good progress across the portfolio and continue to see supportive demand. And this has allowed us to narrow the full year guidance. We look forward to seeing many of you on our upcoming roadshows and investor conference.

Thank you for your attention again and see you soon. Bye bye.

Call Participants

Corporate Participants

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Patrick Jany, AP Moeller - Maersk A/S - Chief Financial Officer, Member of the Executive Board

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